This big lesson of the crisis set a new direction for financial sector regulation, but it also raised new questions. How should financial stability be defined? What are the policies and instruments available to preserve financial stability and when and how should they be deployed? Who should be in charge of what? In other words, in any given jurisdiction, what role should the government play and what should the division of responsibilities be across the several regulators? What should the mechanism be for coordination among them? Should that mechanism be different in normal times and in crisis times?

This is a long list of questions about safeguarding financial stability but as yet there are no definitive answers. What complicates understanding is that the crisis hit virtually every country in the world, showing that there is no clear best practice in regulatory architecture. Even so, several countries, led by advanced economies, instituted changes involving a redesign of the regulatory architecture, redefining responsibilities of various agencies for financial stability and establishing institutions for coordination. India's FSDC initiative was in line with these global developments.

Even as central banks around the world were struggling to adjust to the received wisdom on financial stability, they were also agitated about the possibility of the new arrangements creating a conflict of interest for them and impinging on their autonomy. Abstracting from all the technical details, their concern arose from the understanding that policies for price stability and policies for financial stability are interlinked. What this means is that it might sometimes be necessary to deploy monetary policy to preserve financial stability. Similarly, an action taken by the central bank to preserve financial stability would impact its monetary policy stance. Would that not create a conflict of interest? Besides, there was the possibility that consultation and coordination with the government on policies for financial stability could easily spill over into the government interfering in monetary policy decisions under the cover of preserving financial stability. What would that mean for the central bank's monetary policy autonomy?

These apprehensions at the global level were equally relevant in the Indian context. Having been through the crisis, I was deeply conscious of